

Research Briefing | Germany

Lockdown-lite likely to trigger mild Q4 GDP contraction

Economist

Oliver Rakau

Chief German Economist

+49(0)69 9675 8664

- **New government measures to curb the second wave of infections will weigh on the economy in November. But they are much less strict than in spring and may be early enough to be more effective than elsewhere in Europe. Severe supply-chain disruptions are also less likely to amplify the shock to industry this time. So while we will revise our Q4 GDP forecast to show a mild contraction, a repeat of H1's record-breaking recession appears unlikely at this stage.**

Over the past few days, the federal government and the 16 state prime ministers have discussed additional measures to slow the sharp rise in infections as the cautious steps agreed just two weeks ago proved insufficient. The virus has gotten out of control in many parts of Germany, risking overwhelming the health care system in a matter of weeks. With the new containment measures agreed yesterday the government aims to massively lower the number of contacts between people in order to reduce the chances of new infection. The rules apply for the whole of November.

We expect the measures to significantly reduce economic activity, but the hit to GDP to be an order of magnitude smaller than in spring. This is due to the more targeted and less severe nature of the restrictions; the incomplete recovery of the affected sectors; and lower odds of manufacturing being hit by supply-chain disruptions. New fiscal stimulus to be announced later this week also softens the blow. This leaves us some way from our [second-wave scenario](#), but a failure of the measures will see the government tighten and extend the restrictions. Therefore, risks remain tilted to the downside.

Figure 1: Measures to contain second infection wave are less harsh than in spring

Germany: Virus containment measures		
	Spring	November
Social distancing		
Distance rules	>1.5m, where possible	Same
Social gatherings	Own HH & one other person	10 people max out of own & one other HH
Going to work	Generally allowed, but work from home encouraged	Same
Large-scale events, sports	Cancelled / without spectators	Same
Schools etc	Closed	Open
Hospitality sector		
Restaurants	Only delivery/to-go	Same
Bars	Closed	Same
Hotels etc.	Closed	Same
Contact-intensive services (gyms, pools, cinemas etc)	Closed	Hair dressers stay open
Retail		
Essential (food etc)	Open, occupancy rules	Same
Non-essential	Closed	Open, occupancy rules
Travel		
Within state	Allowed, but discouraged	Same
Between states	Allowed, but discouraged	Same
International		
Hotspots	Only essential + quarantine	Quarantine
Other	Only essential + quarantine	Allowed
Goods	Allowed	Same

Source: Oxford Economics/German government

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The new containment measures follow a broadly similar design as those in spring but are noticeably less severe (Figure 1). Just like earlier this year, the hospitality sector will be shut with the exception of take-away and delivery food. Other contact-intensive services such as gyms and cinemas are shuttered too. But importantly, non-essential retail stores will remain open, although increased consumer caution will negate some of the economic benefits of the decision. The shops' closing had lowered total retail sales by as much as 13% in April (Figure 2) equivalent to about 4% of private consumption. The other major difference is that schools and kindergartens will remain open reducing the hit to labour supply as many parents won't need to stay home.

The hit to activity from closing down contact-intensive services is also bound to be somewhat smaller. While most of the affected sectors have enjoyed a mechanical rebound as the restrictions were lifted, their recovery has been far from complete (Figure 3). Turnover in the hospitality sector was still 26% below pre-recession levels in August, so the distance to April's lows is a third smaller.

But a massively smaller hit to manufacturing activity could be the main difference to the spring-lockdown. Back then, German industrial production fell nearly 30% from Q4 2019 to April accounting for about 40% of H1's GDP drop (Figure 4), although the sector was notionally not affected by significant government-mandated restrictions. Yet, the harsh lockdown in China and the closing of borders within Europe triggered severe supply-chain disruptions, which along with uncertain demand prospects and often closed car registration offices meant that car makers halted their production completely and many of their suppliers followed suit. While it is unlikely that industry will be unscathed, we expect that restrictions on industrial activity rank very low in government's cost-benefit analysis. What's more, [recent surveys](#) suggest a very favourable global demand environment, which along with a pre-announced end-date of the restrictions and hopes for a vaccine next year should reduce the hit to confidence and output.

The government's on-going willingness to deploy more fiscal stimulus should help contain the hit to the labour market and support the recovery. The finance and the economics minister will announce further details later this week, but public money is meant to replace up to 75% of affected sectors' earnings, while the partial unemployment scheme remains in place. So, Germany remains relatively well placed to recover once a vaccine is finally in place.

Figure 2: Drop in non-essential retail was major driver of plunging consumption in Q2

Germany: Retail sales

Real, % chg. & ppts contribution vs. January 2020

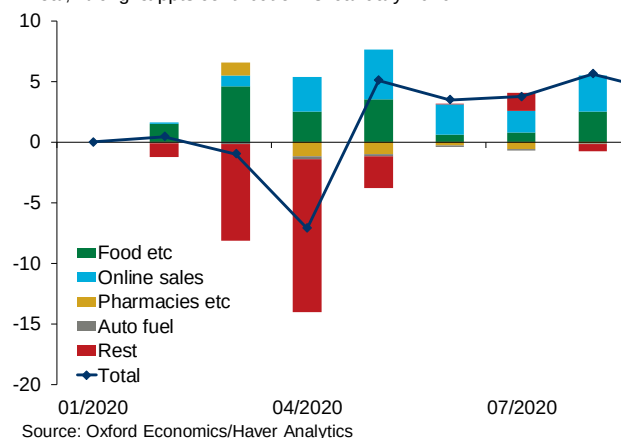


Figure 3: Hospitality sector was weakening even before new restrictions were announced

Germany: Hotels & restaurants

Balance of opinion (LHS); Index, 2015=100 (RHS)

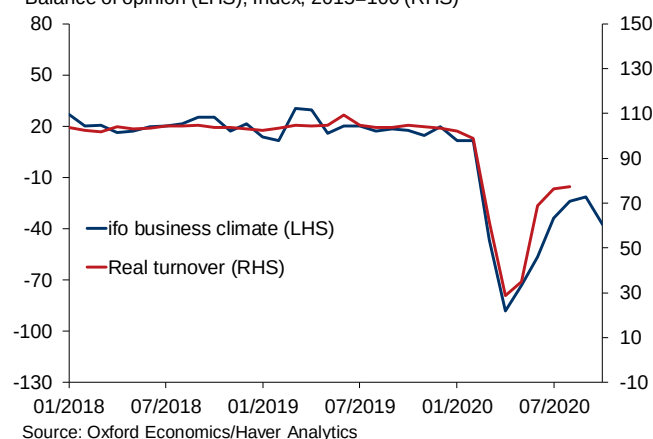


Figure 4: Supply-chain disruptions and falling demand hit industry despite few restrictions

Eurozone: Gross value added

Real, % chg., Q2 2020 vs. Q4 2019

